School LLM — Individual User Pricing & Subscription Plan

Document type: Internal pricing strategy for leadership review

Audience for the product: Individual learners, students preparing on their own, parents, working professionals

Cost basis: Current operating costs and competitor pricing as of May 2026

Currency: All prices in Indian Rupees (■). Where USD comparisons are useful, 1 USD ≈ ■84.

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1. Executive Summary

This plan covers the **individual user product** — a version of the School LLM that anyone can sign up for online, try for free with a small monthly allowance, and pay a small monthly fee to keep using regularly. This is separate from the school deployment, which is sold to institutions on a contract.

Recommended pricing — three tiers:

Tier	Price	Who it's for	What they get
Free Trial	■0	Curious visitors, first-time users	100,000 free credits per month (≈50–100 questions)
Basic	**■199/month**	Regular learners, students	5,00,000 credits/month (≈250–500 questions), all features
Pro	**■499/month**	Power users, exam aspirants, professionals	20,00,000 credits/month, premium AI quality, priority support

Annual prepay: 2 months free at all tiers → Basic ■1,990/year, Pro ■4,990/year.

Why these prices work:

- **■199 is below the psychological "impulse subscription" threshold** (similar to Spotify India ■119, Netflix Mobile ■149)
- **Roughly 4–10× cheaper than ChatGPT Plus or Claude Pro in India** (both around ■2,000/month) — strong value claim
- **Healthy gross margin** at expected usage patterns (~80% on Basic, ~70% on Pro)
- **Free tier large enough to demonstrate value** but small enough to drive conversion within a week of regular use

Expected outcome: At 10,000 sign-ups with a 5% conversion to paid, the product generates **~■1,45,000/month** in subscription revenue with a small support and infrastructure cost. The first paid month covers our cost of acquiring and serving the user.

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2. Who the Individual User Is

The school product reaches students through their institution. The individual product reaches them directly — and so it serves a different set of needs.

Primary personas

The self-learner student (largest segment)

A class 9–12 student or college student whose school does not have the LLM subscription. Wants help with homework, understanding chapters from PDFs, generating practice questions before exams. Heavy use during exam season, lighter otherwise.

The exam aspirant

A JEE, NEET, UPSC, or government-exam candidate studying on their own. Uploads lots of study material, asks long Q&A sessions, generates summaries and practice quizzes. High monthly usage.

The working professional learner

An adult learning a new skill (programming, finance, languages). Uses the product 2–3 times a week to digest articles, papers, or course PDFs. Moderate usage but pays more easily.

The curious tryer

Signs up to "see what AI can do for studying." Uses the free tier, may or may not convert. The free tier exists for this person.

What they care about (in order)

- **Does this actually help me learn?** (perceived usefulness)
- **Is it cheap enough that I don't need to ask permission?** (price)
- **Can I cancel anytime?** (commitment fear)
- **Is my data safe?** (privacy)
- **Does it work in my language?** (English + regional language support)

The pricing plan below is designed to address #2 and #3 directly so they reach #1.

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3. What's Free and What's Paid

The "credit" metaphor (user-facing)

Behind the scenes the AI counts in tokens (small word fragments). For users we translate this into "credits" — easier to understand. Roughly:

> **1 question or short answer ≈ 1,000–2,000 credits**

> **1 PDF summary ≈ 5,000 credits**

> **1 quiz with 10 questions ≈ 8,000 credits**

This is how Microsoft, Adobe, and Google have trained consumers to think about AI usage — credits, points, generations. It's familiar.

Free tier specifications

	Free Trial
Price	■0
Monthly credits	100,000 (≈ 50–100 questions)
Features	All core features (PDF Q&A, summaries, quizzes, chat)
AI quality	Standard model (good enough for school work)
Support	Self-serve help center only
Reset	Credits refill on the 1st of every month
Limits	One device login at a time; 5 PDFs stored

Design intent: A typical user exhausts the free credits in 1–2 weeks of casual daily use. That's the sweet spot — they've seen the value, formed a habit, and now want more. Too many free credits and they never convert; too few and they bounce before they understand the value.

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4. Paid Tiers — Detailed Breakdown

Basic Plan — ■199/month

	Basic
Price	**■199/month** or **■1,990/year** (2 months free)
Monthly credits	**5,00,000** (≈ 250–500 questions)
AI quality	Standard model
Features	Everything in Free + unlimited PDF storage + chat history saved
Support	Email support, 24-hour response
Devices	2 simultaneous logins
Overage	If credits run out: option to top-up at ■50 per 100,000 credits

Positioned for: A regular daily-use student. Roughly 8–15 questions per day. Comfortably handles a normal study schedule plus occasional heavy days.

Pro Plan — ■499/month

	Pro
Price	**■499/month** or **■4,990/year** (2 months free)
Monthly credits	**20,00,000** (≈ 1,000–2,000 questions)
AI quality	**Premium AI** (same quality as ChatGPT Plus / Claude Pro) for any question
Features	Everything in Basic + premium AI toggle + audio answers + video explanations + priority queue
Support	Email + chat support, 4-hour response
Devices	4 simultaneous logins
Overage	Auto-extends at ■50 per 100,000 credits, capped at user-set monthly limit

Positioned for: Exam aspirants, heavy users, professionals. The price gap from Basic (■300/month more) is justified by 4× the credits AND access to the premium AI model — the same technology behind ChatGPT Plus, which sells alone for ■2,000/month. So a user gets ChatGPT-Plus-quality answers for a quarter of the price, plus our school-focused features on top.

Annual prepay savings

Tier	Monthly billing (12 months)	Annual prepay	User saves
Basic	■2,388	■1,990	■398 (17%)
Pro	■5,988	■4,990	■998 (17%)

Annual prepay reduces churn (locked-in for a year) and gives upfront cash. Industry standard practice.

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5. Why These Prices — Market Context

What individual users in India already pay for AI

Product	Indian price (2026)	Our positioning
ChatGPT Plus	■2,000/month	4× more expensive than our Basic, 4× more than our Pro
Claude Pro	■1,999/month	Same as ChatGPT Plus
Google AI Pro (Gemini Advanced)	■1,950/month	Same tier
Google AI Plus (lower tier)	■399/month	Closest competitor to our Basic
ChatGPT free	Free, rate-limited	Our free tier offers more usage for studying

Key insight: ChatGPT Plus and Claude Pro are priced for working professionals in the US. In India ■2,000/month is a meaningful spend — many students can't justify it. The market opening is "ChatGPT-quality help for the price of a Netflix subscription." That's what ■499 Pro delivers.

What Indian students pay for learning apps

Product	Indian price	Notes
Vedantu (tutoring + content)	From ■2,699/month	Heavy live-tutoring component
Unacademy (subscription)	■15,000–30,000/year (~■1,250–2,500/month)	Big content library, mostly recorded
Toppr (adaptive practice)	■5,000–10,000 per package	Project-based pricing

These are content-heavy products with large internal cost structures (recorded video, live teachers). Our product is **AI-native** — much lower cost to serve, which lets us price aggressively. We're not competing on content depth; we're competing on **on-demand, personalized AI help that the others don't offer**.

What Indian consumers pay for monthly subscriptions in general

Service	India price	What this tells us
Spotify Individual	■119/month	Sub-■150 is mass-market impulse subscription
Netflix Mobile-only	■149/month	Same range
YouTube Premium	■149/month	Same range
Amazon Prime	■299/month (lite) or ■1,499/year	■299 is the next price band
Hotstar Premium	■299/month	

This suggests ■199 is a strategic price point — it's positioned above the strict-impulse tier (Spotify/Netflix Mobile) signaling higher utility, but below the ■299 "considered subscription" tier. A student deciding to pay ■199 is making a small commitment, not a budget item.

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6. Our Cost to Serve a User

The big question for any subscription business: **does the price cover what it costs us?**

Per-user costs at expected usage

Basic user (■199/month):

Component	Monthly cost per user
Share of GPU server hosting (one Hetzner GEX44 shared across many users)	~■15
AI model API for occasional premium queries	~■10
Payment gateway fee (2.5%)	■5
Customer support cost (allocated)	■15
Cloud storage for PDFs and chat history	■5
Total cost to serve	**~■50**
Gross margin	**~■149 / 75%**

Pro user (■499/month):

Component	Monthly cost per user
Share of GPU server hosting (heavier usage share)	~■40
Premium AI model usage (Claude-quality for any question)	~■70
Payment gateway fee (2.5%)	■13
Customer support cost (allocated)	■20
Cloud storage + extras	■10
Total cost to serve	**~■153**
Gross margin	**~■346 / 69%**

These margins assume the **hybrid AI setup** from the school deployment plan is reused — the same GPU server that serves schools during the day also serves individual users (different schools and individuals have different peak times, so capacity is well-utilized).

Where the per-user costs come from in plain terms

- **Hosting cost**: We rent one GPU server per ~500–1,000 paying users. The rent is fixed (■17,000/month). Divided among users, it's small.
- **Premium AI cost**: For Pro users who toggle "Premium AI mode," we pay a small fee per question to Anthropic (Claude). This is a real per-use cost.
- **Payment fees**: Razorpay/Stripe takes about 2.5% of every transaction.
- **Support cost**: A small support team handling tickets. Assumed about 10 minutes of human time per user per month at scale.

What happens when users use a lot

If a Basic user goes over their 5,00,000 credits, they have two choices:

- **Top-up** at ■50 per 100,000 credits (which we charge above our marginal cost — a top-up of ■50 brings us ~■35 margin)
- **Upgrade to Pro** for the same ■50 we'd charge for the top-up to get a much higher monthly limit

The mechanic is designed so that heavy users naturally upgrade — and that's good for both sides (they get more value, we get more revenue per heavy user).

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7. Revenue Projections

Conversion rate assumptions

Industry benchmarks for freemium AI/education products:

- Conservative: **3% free-to-paid conversion** within 90 days
- Realistic: **5% free-to-paid conversion**
- Optimistic: **8% free-to-paid conversion**

Within paid users, expected split is **70% Basic / 30% Pro** (standard for tiered SaaS where the higher tier is positioned as a premium upgrade, not the default).

Monthly revenue at different sign-up volumes (5% conversion)

Total sign-ups	Paid users (5%)	Basic (70%)	Pro (30%)	Monthly revenue
1,000	50	35 × ■199 = ■6,965	15 × ■499 = ■7,485	**■14,450**
5,000	250	175 × ■199 = ■34,825	75 × ■499 = ■37,425	**■72,250**
10,000	500	350 × ■199 = ■69,650	150 × ■499 = ■74,850	**■1,44,500**
50,000	2,500	1,750 × ■199 = ■3,48,250	750 × ■499 = ■3,74,250	**■7,22,500**
1,00,000	5,000	3,500 × ■199 = ■6,96,500	1,500 × ■499 = ■7,48,500	**■14,45,000**

Annual revenue snapshot (10K sign-ups, mature)

	Monthly	Annual
Subscription revenue	■1,44,500	■17,34,000
Top-up revenue (estimated 5% of users)	■6,000	■72,000
Total revenue	**■1,50,500**	**■18,06,000**
Cost to serve (500 users × ~■80 avg)	■40,000	■4,80,000
Gross profit	**■1,10,500**	**■13,26,000**

This excludes customer acquisition cost (marketing) and the fixed operations team — those depend on the growth strategy. The unit economics themselves are clearly profitable.

Breakeven analysis

The individual product becomes **operationally self-sustaining** at roughly **2,000 sign-ups with 5% conversion** (~100 paying users generating ~■29,000/month), which covers one GPU server, payment fees, and a small support function. Anything beyond this is contributing to the company's bottom line.

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8. Free Tier Strategy — Designed for Conversion

What "free trial" really does

The free tier is not a gift. It's a **funnel** — the cost of demonstrating value to a user so they decide to pay. Two things have to be true:

- The free experience has to be **good enough that the user gets real value** (otherwise they leave forever, never to return).
- The free experience has to be **limited enough that the user wants more** (otherwise they never pay).

The 100,000 credits/month allowance threads this needle:

- A serious user trying the product for the first time will use 30,000–60,000 credits in their first session (uploading a PDF, asking 5–10 questions, getting a summary).
- Within 4–7 days of regular use, they hit the limit.
- At that point, they see a friendly message: **"You've used your free credits for this month. Upgrade to Basic for ■199 to keep going, or wait until next month."**
- Most users who got value upgrade in that moment. The remainder come back next month.

Conversion moments — when to show the upgrade prompt

Moment	Action
First feature used (e.g., first PDF uploaded)	Gentle banner: "Loving it? Upgrade for unlimited"
50% credits used	Soft nudge in sidebar
80% credits used	Banner across top: "Running low — upgrade now and keep your work"
100% credits used	Modal blocking further use: "Free credits used. Upgrade for ■199"
Try premium feature (audio/video answer)	Inline upgrade: "Premium AI unlocks this — upgrade to Pro"

The 100% modal is the moment of truth. It should be:

- **One click to upgrade** (don't make them re-enter details if logged in)
- **Show the value just delivered** ("You asked 47 questions this week. Keep going for ■199/month.")
- **Offer the annual prepay discount visibly** ("Or pay ■1,990/year and save ■398")

What NOT to do

- **Don't gate core features behind paid tiers.** PDF Q&A is the killer feature; it should be free (just limited by credits). Hiding core features is what makes users feel cheated and bounce.
- **Don't show ads on free tier.** Ads cheapen the product and signal we don't believe in the subscription. Charge or don't.
- **Don't reset credits daily.** Monthly is the right cadence. Daily creates anxiety and underuse.
- **Don't auto-charge on day 1 of "free trial."** This is the dark pattern Netflix etc. use; learners hate it, and the product is honest enough not to need it.

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9. Subscription Mechanics

Payment processing

- **Primary:** Razorpay (Indian-built, supports UPI, cards, net banking, EMI) — fees ~2% domestic
- **Backup:** Stripe for international users — fees ~3%
- All recurring subscriptions handled via Razorpay Subscriptions API (UPI AutoPay supported, which is critical for the Indian student market — most students don't have credit cards)

GST and pricing display

- All listed prices are **GST-inclusive** (■199 means ■199 final, not ■199 + 18% GST)
- The 18% GST is broken out on invoices but not the website (cleaner perceived price)
- Annual prepay GST is collected upfront in the year of payment

Cancellation and refunds

- **Cancel anytime** from settings, no questions, no retention call
- After cancellation, the user keeps access until the end of the paid period
- **Refund policy:** Full refund within 7 days of first payment, no questions asked. After 7 days, no refunds (industry standard, prevents abuse).
- Annual subscribers can downgrade to monthly mid-year and get prorated refund

Free tier abuse prevention

- One free tier per **mobile number** (not just email — emails are infinite, mobile numbers cost ■1 to verify)
- OTP verification on signup (Razorpay's mobile verification is essentially free at scale)
- Block disposable email domains
- Rate-limit on credits-per-IP per day to stop scripted abuse

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10. Launch and Rollout

Phase 1 — Soft launch (month 1)

- Open registration to a small invite-only beta (~500 users)
- Free tier only, no paid tiers exposed yet
- Goal: confirm the credit allowance is calibrated correctly (are users hitting the limit at the right time?)
- Gather feedback on which features matter most

Phase 2 — Public free + paid (months 2–3)

- Open registration to anyone
- Enable Basic and Pro tiers
- Run referral program: existing users get 50,000 bonus credits for each friend who signs up
- Goal: hit 5,000 sign-ups, observe early conversion rate

Phase 3 — Marketing push (months 4–6)

- Targeted ads on YouTube, Instagram for student keywords
- Partner with education content creators (small influencers in JEE/NEET/UPSC space)
- Goal: hit 25,000 sign-ups, hit ■3,00,000/month subscription revenue

Phase 4 — Optimization (months 7+)

- A/B test pricing (try ■179 and ■249 vs ■199 on different cohorts; measure revenue per user, not just conversion rate)
- Add regional language support (Hindi, Tamil, Telugu) for wider reach
- Consider quarterly plans (■549/3 months) for users who want more than monthly but can't commit to annual

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11. Risks and Mitigations

Risk	Why it matters	Mitigation
Conversion rate is below 3%	Unit economics get tight if too few free users pay	Aggressive in-product upgrade prompts; A/B test the free credit allowance up or down
Heavy users abuse top-ups	Could lose money on extreme users	Hard cap on monthly top-ups; auto-route heavy users to Pro tier with friendly message
Premium AI cost (Claude) rises	Pro tier margin shrinks	Hybrid setup means we can swap Claude → cheaper alternative (Gemini, Llama 70B) without user-visible change
Free tier driving infrastructure cost	Free users consume server capacity but generate no revenue	Free users run on lower-priority queue; if capacity tight, free queries get slightly slower (still acceptable, encourages upgrade)
Payment failures on UPI AutoPay	Common for Indian recurring billing	Razorpay handles retries automatically; supplement with email/SMS reminders before charge attempts
Competitor (ChatGPT, Claude) drops India pricing	Our differentiation weakens	We're still differentiated by school-focused features (PDF Q&A, quiz generation, grade-level grading); compete on focus not just price
Refund abuse during exam season	Students upgrade for exam week, refund after	7-day refund window means anyone who uses meaningful credits forfeits refund eligibility

12. One-page Cost & Revenue Summary

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■  TIER       PRICE       OUR COST    GROSS MARGIN   POSITIONING      ■
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
■  Free Trial ■0         ~■15/user   N/A (loss leader, drives convs.) ■
■  Basic      ■199/mo    ~■50/user   ~■149 (75%)    Mass market      ■
■  Pro        ■499/mo    ~■153/user  ~■346 (69%)    Power users      ■
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
■  At 10,000 sign-ups · 5% conversion · 70/30 Basic/Pro split:       ■
■     Monthly revenue:  ~■1,44,500                                   ■
■     Monthly cost:     ~■40,000                                      ■
■     Gross profit:     ~■1,04,500                                    ■
■     Annual revenue:   ~■17,34,000                                   ■
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
■  Breakeven:  ~2,000 sign-ups, ~100 paying users                    ■
■  Competitive: 4× cheaper than ChatGPT Plus / Claude Pro in India   ■
■  Annual prepay saves users 17%, reduces churn for us               ■
■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■■
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Appendix A — Pricing Sources (May 2026)

- ChatGPT Plus India: ~■2,000/month per consumer guides

- Claude Pro India: ~■1,999/month per Anthropic India listings
- Gemini Advanced / Google AI Pro India: ~■1,950/month
- Google AI Plus (lower tier): ■399/month
- Vedantu: from ■2,699/month for class 7+
- Unacademy: ~■15,000–30,000/year (effectively ■1,250–2,500/month)
- Spotify India Individual: ■119/month
- Netflix Mobile India: ■149/month
- Amazon Prime Lite India: ■299/month
- Razorpay payment processing: ~2% domestic, ~3% international

Appendix B — Credit Math (How "Credits" Map to Real Cost)

The product hides token math behind "credits" for user clarity. The mapping:

- **1 credit** ≈ **1 AI input token** (so 100,000 credits ≈ 100,000 input tokens worth of activity)
- A "typical question" uses 1,000–2,000 input credits + ~500 output credits
- A "PDF summary" uses 5,000–10,000 credits (the whole document goes through the AI)
- A "quiz of 10 questions" uses about 8,000 credits (document + structured generation)

Credit allowances by tier

Tier	Monthly credits	Approx questions	Approx PDFs summarized
Free	100,000	50–100	10–20
Basic	5,00,000	250–500	50–100
Pro	20,00,000	1,000–2,000	200–400

Appendix C — Why ■199, ■499 and not something else

- **■99**: Too cheap. Signals "low quality." Indian consumers associate sub-■100 with throwaway. Also leaves no room for promotional discounts later.
- **■149**: Same psychological band as Spotify/Netflix Mobile — competes on the entertainment subscription budget, not the learning budget. Education tools should signal a bit more value.
- **■199**: ■ Just above the impulse-subscription band, signals "useful learning tool," still affordable. Round, memorable, easy to say.
- **■299**: Closer to Amazon Prime range. Considered subscription. Might suppress conversion among price-sensitive students.
- **■499**: ■ For Pro tier — clear step up, "premium" tier signal, still under ■500.
- **■999**: Closer to ChatGPT pricing range. Doesn't deliver the "much cheaper than ChatGPT" value claim. Avoid.

Appendix D — Glossary

- **Credit:** The user-facing unit of AI usage. Each question and each AI action consumes credits from the user's monthly allowance.
- **Token:** The technical unit the AI measures internally. Hidden from users. Roughly 1 credit = 1 token.
- **Conversion rate:** The percentage of free users who become paid users. Industry-standard benchmark for AI products: 3–8%.
- **Churn:** The percentage of paid users who cancel each month. Healthy SaaS aims for under 5% monthly.
- **Gross margin:** Revenue minus cost-to-serve, as a percentage. 70%+ is healthy for a subscription business.
- **CAC (Customer Acquisition Cost):** What we spend on marketing per new paid user. Should be less than the user's first 3 months of subscription revenue for a healthy business.